

Analysts:

M. Amin Hamdani
(amin.hamdani@vis.com.pk)

Husnain Ali
(husnain.ali@vis.com.pk)

**APPLICABLE
METHODOLOGY(IES):****VIS Entity Rating Criteria
Methodology – Industrial
Corporates:**

<https://docs.vis.com.pk/docs/CorporateMethodology.pdf>

Rating Scale:

(<https://docs.vis.com.pk/docs/VISRatingScales.pdf>)

FATIMA FERTILIZER COMPANY LIMITED

Chairman: Arif Habib

Chief Executive: Fawad Ahmed Mukhtar

RATING DETAILS

RATINGS CATEGORY	LATEST RATING		PREVIOUS RATING	
	Medium to Long-term	Short-term	Medium to Long-term	Short-term
ENTITY	AA+	A1+	AA+	A1+
RATING OUTLOOK/ WATCH	Stable		Stable	
RATING ACTION	Reaffirmed		Reaffirmed	
RATING DATE	August 11, 2025		September 3, 2024	

RATING RATIONALE

Assigned ratings reflect the Company's strong position in Pakistan's fertilizer sector, supported by significant operating capacity and a nationwide distribution network. Despite decline in overall sales volume, topline increased in CY24 on the back of higher product prices. However, net sales decreased in 1QCY25 due to a delayed Kharif season. Profit margins improved significantly during the period under review, on account of higher prices of fertilizer products. Debt servicing coverage ratios declined in the period under review amid increased taxation and higher debt repayments. Borrowings increased, mainly to finance increased working capital and funding long-term investments, slightly elevating capitalization ratios, though maintaining a robust portfolio of liquid assets provided significant cover against these borrowings, largely mitigating financial risk.

Looking ahead, assigned ratings will hinge on maintaining operational efficiencies, improving market presence, recovery in sales volumes, while maintaining sound coverages and a conservative balance sheet.

COMPANY PROFILE

Fatima Fertilizer Company Limited ('FATIMA' or 'the Company') is a joint venture between the Fatima Group and Arif Habib Group. Headquartered in Lahore, FATIMA manufactures, produces, buys, sells, imports, and exports fertilizers and chemicals. The Company produces two intermediary products, Ammonia and Nitric Acid, and three final products: Urea, Calcium Ammonium Nitrate (CAN), and Nitro Phosphate (NP). With a total manufacturing capacity of 2.57 million MT, FATIMA

RS. MILLION	CY22	CY23	CY24
Net Sales	158,797	235,423	256,920
PBT	30,376	48,896	62,833
PAT	14,302	23,008	36,394
Paid up call	21,000	21,000	21,000
Equity (incl. surplus on PEE)	107,501	119,386	144,169
Total Debt	28,940	9,360	64,427
Debt Leverage (x)	1.17	0.96	1.20
Gearing (x)	0.27	0.08	0.45
FFO	28,043	47,452	41,815
FFO/Total Debt (x)*	0.97	5.07	0.65
NP Margin	9.0%	9.8%	14.2%

is the second largest player in the market in terms of capacity after Fauji Fertilizer Company Limited (FFC), after the amalgamation of latter and FFBL (Fauji Fertilizer Bin Qasim Limited). Despite facing historical operational challenges due to gas supply issues, the management secured a seven-year Gas Supply Agreement with Mari Energies Limited at end-2022. This agreement, lasting until 2029, ensures a stable gas supply and continuous operations for two of its three plants.

The Company has three manufacturing facilities, which are listed below:

- **Sadiqabad Plant:** Fully integrated production facility that specializes in the production of CAN, NP and Urea, and intermediary products such as Ammonia and Nitric Acid. The plant benefits from a dedicated gas allocation of 110 MMCFD from the Mari Energies Limited and operates 56 MW captive power plants. The plant was initially designed with an annual capacity of 1,280,000 Metric Tons (MT), the plant has enhanced its production capabilities through various improvements. It now produces 500,000 MT of Urea, 470,000 MT of CAN and 490,000 MT of NP. Sadiqabad plant was able to get consistent supply gas throughout CY24.
- **Sheikhupura Plant (Fatimafert):** Acquired by FATIMA in 2015, the plant operates based on gas from SNGPL and has a urea manufacturing capacity of 445,500 MT annually. Gas from SNGPL is priced at commercial rate for Sheikhupura plant. As a part of long-term strategic business initiative, the related to Sheikhupura plant were transferred to Fatimafert Limited, a wholly owned subsidiary, with effect from July 01, 2024. The plant operates as required, with its quarterly operational approvals granted by the Economic Coordination Committee (ECC).
- **Multan Plant (Pakarab):** Multan Plant was acquired from Pakarab Fertilizers (Pakarab) in 2020. This plant produces Ammonia, Urea, Nitric Acid, Nitro Phosphate, and Calcium Ammonium Nitrate and has a manufacturing capacity of 846,900 MT annually with a product wise distribution of 92,400 MT of Urea, 304,500 MT of NP, and 450,000 MT of CAN. The Board of Directors of the Holding Company in their meeting held on October 29, 2024 had given in principle approval of the Scheme of Compromises, Arrangements and Reconstruction (the Scheme) for carving out the net assets related to Multan Plant of the Holding Company and amalgamating the same with and into Pakarab Fertilizers Limited, a wholly owned subsidiary with effect from October 01, 2024. However, the Board of Directors of the Holding Company in their meeting held on March 13, 2025 approved to amend the effective date of the Scheme to January 01, 2025, subject to regulatory approvals.

INDUSTRY PROFILE & BUSINESS RISK

As per Pakistan Bureau of Statistics, the agriculture sector, contributing 24% to the country's GDP in CY24, relies heavily on affordability and availability of fertilizer products. Total fertilizer production increased by 11.3% in CY24 compared to last

year, according to NFDC (National Fertilizer Development Centre) data. Urea production rose by 9.3%, CAN (Calcium Ammonium Nitrate) production by 8.3%, and NP (Nitrogen phosphorus) production was up by 17.6% from CY23. DAP (Diammonium Phosphate) offtake has declined in the last three years due to pressure on demand. Secondly, gas prices have also increased, increasing the prices of fertilizers. Average price of a 50 KG bag of Urea was Rs. 3,785, an increase of 56.6% (CY23: Rs. 2,417) in CY24. Similarly, the price of a 50 KG bag of DAP witnessed a 6.3% hike (CY24: Rs. 11,548, CY23: Rs. 10,864), as per NFDC data. Prices of fertilizers increased marginally during 1HCY25 by 2% compared to 1HCY24, as per NFDC data.

Despite higher prices, demand improved particularly in 2HCY24, due to inflationary easing and seasonal impact. However, fertilizer industry experienced a notable decline in sales during 1HCY25, due to low demand amid weak farmer economics mainly due to losses in last wheat season. Compared to 1HCY24, urea offtake witnessed 23% reduction, while DAP sales slipped by 16%, and NP volumetric sales dipped 5% vis-à-vis SPLY. Similarly, it is anticipated that CY25 offtake may be lower to CY24, due to market uncertainty and weak farmer economics. However, given the importance of fertilizers to the economy and looming concern of food security, business risk associated with the sector is considered medium to low. The following table shows volumetric sales of major fertilizer products:

Fertilizer offtake (metric tons)	CY22	CY23	CY24	1HCY25
Urea	6,426	6,033	6,591	2,351
DAP	897	635	816	394
NP	902	792	931	334
CAN	826	820	888	397
SOP	15	12	18	-
NPK	78	40	27	21
Total	9,144	8,332	9,271	3,496
Source: NFDC Review				

FFC, FATIMA, and Engro Fertilizers Limited (EFERT) held a cumulative market share of 97% (2023: 92%) in 2024, given their relatively higher production capacities and sizable dealership network in comparison with other competitors.

FATIMA's market share remained largely intact while FFC further expanded its hold in the market in CY24. Market share in fertilizer sector is tabled below:

Market share (volumetric offtake)	CY22	CY23	CY24
FFC	42%	41%	44%
FATIMA	30%	28%	27%
EFERT	24%	23%	26%
Others*	4%	8%	3%
*Includes importers			
Source: NFDC Review			

Product Profile & Capacity

In CY24, the Company maintained its position as the largest CAN and NP producer in the country while remaining the third largest producer of Urea. FATIMA produced a total of 2.9 million MT of fertilizers in CY24, reflecting a 12% increase from 2.6 million MT in CY23. In CY24, Urea production increased to 1,087,620 MT from 985,419 MT, CAN increased to 854,557 MT from 839,721 MT, and NP stood higher at 852,490 MT from 713,038 MT in CY23.

The increase in production was primarily attributable to easing of supply side challenges. Management's focus on elevating NP production is demonstrable, given higher margins on the same. Capacity utilization improved in CY24 compared to previous two years. Capacity utilization declined in 1HCY25 on account of lower production of Urea offset by weaker seasonal demand. The table below shows FATIMA's operating metrics:

Annual capacity (MTs)	CY22	CY23	CY24	1HCY25
Urea	1,037,900	1,037,900	1,037,900	1,037,900
CAN	920,000	920,000	920,000	920,000
NP	794,500	794,500	794,500	794,500
Total production (MTs)	CY22	CY23	CY24	1HCY25
Urea	1,095,084	985,419	1,087,620	556,875
CAN	866,620	839,721	854,557	435,409
NP	866,724	713,038	852,490	429,464
Plant capacity utilization	CY22	CY23	CY24	1HCY25 (annualized)
Urea	106%	95%	105%	93%
CAN	94%	91%	93%	95%
NP	109%	90%	107%	108%
Average capacity utilization	103%	92%	102%	99%

Investments Portfolio

The Company maintains a mix of long-term investments and short-term investments. Long-term investments comprise investments in associates, debt instruments and equity investments while short-term investments mainly comprise investments in equities and mutual funds. Return on short-term investments improved to 18.6% (CY23: 10.5%) in CY24 mainly due to capital gains. The following table shows bifurcation of investments:

	Investments' portfolio		
	CY22	CY23	CY24
LT investments (Rs in millions)			
In associates	119	118	732
Debt instrument - FVTPL	600	941	1,328
Equity instrument	-	-	473
Debt instrument - Amortized cost	750	4,768	39,357
Subtotal	1,469	5,827	41,889

ST investments (Rs in millions)	CY22	CY23	CY24
Equity investments - FVTPL	4,098	6,018	11,966
Mutual fund	-	-	18,412
At amortized cost	421	12,947	366
Subtotal	4,519	18,965	30,744
Total	5,988	24,792	72,633
Return on ST Investments (Rs in millions)	CY22	CY23	CY24
Other income from ST Investments	-	1,986	5,713

FINANCIAL RISK

Capital Structure

The Company's equity base expanded to Rs. 144b (end-CY23 Rs. 119b) by end-CY24 primarily driven by profit retention despite distribution of Rs. 11.5b in total dividends in CY24 (CY23: Rs. 11.0b). Equity increased to Rs. 149b by end-1QCY25 due to sustained profit retention.

FATIMA availed an arbitrage opportunity due to which borrowings increased at end-CY24. Long-term borrowings increased notably to Rs. 44.3b (end-CY23: Rs. 8.4b) by end-CY24 and short-term borrowings increased Rs. 19.5b (end-CY23: Rs. 937.8m). Consequently, capitalization ratios were slightly elevated as gearing reached 0.45x (end-CY23: 0.08x) and leverage increased to 1.20x (end-CY23: 0.96x) by end-CY24. Gearing and leverage declined at end-1QCY25 on account of both higher equity base and slightly lower borrowings. Financial risk is alleviated to a larger extent as FATIMA maintained substantial liquid assets amounting Rs. 70.6b (end-CY24: Rs. 40.1b, end-CY23: Rs. 26.3b) by end-1QCY25, providing cover against borrowings with virtually nil gearing based in net debt.

While no major capex is expected in the outgoing year, the Company plans to diversify into different ventures and may inject funds into subsidiaries during the rating horizon. Overall, the management expects borrowings to decrease going forward.

Profitability

Despite lower volumes, net sales increased by 9.1% (CY24: Rs. 256.9b, CY23: Rs. 235.4b) due to higher prices. While volumetric sales of Urea stabilized in CY24 compared CY23, offtake of DAP, CAN and NP declined by 48%, 15% and 19% respectively. Overall, sales volumes reduced by 12% in CY24 compared to CY23 amid slowdown in market demand.

Urea, NP and CAN formed majority of Company's sales, in line with historical levels, though management's focus on NP is evident as it comprises average 48.8% of sales in terms of revenue over the past three years.

Breakdown of volumetric offtake is in the table below:

Sales mix (volumes)			
	CY22	CY23	CY24
Urea	40.7%	33.8%	38.8%
DAP	0.7%	3.4%	2.0%
CAN	32.1%	27.9%	26.9%
NP	26.5%	34.9%	32.2%

Breakdown of sales in value terms is as follows:

Sales mix in terms of value (Rs.)			
	CY22	CY23	CY24
Urea	26.5%	23.7%	30.3%
DAP	2.4%	8.8%	4.1%
CAN	18.1%	17.8%	19.1%
NP	52.1%	48.9%	45.5%
Mid products	1.0%	0.8%	1.0%

In CY24, gross margin improved to 35.7% (CY23: 31.5%) due to higher selling prices. Other income increased to Rs. 12.5b (CY23: Rs. 7.3b) in CY24 due to higher profits on investments and savings account and gains on short-term investments. Financial charges were largely unchanged during CY24 compared to CY23. As a result of higher gross margin and increased other income, net profit increased notably to Rs. 36.4b (CY23: Rs. 23.0b) leading to an improved net margin of 14.2% (CY23: 9.8%) in CY24.

In 1QCY25, demand was hampered by delayed onset of Kharif season. Subsequently, fertilizer offtake reduced industrywide. FATIMA's topline declined by 34.2% to Rs. 43.0b in 1QCY25 compared to SPLY. Margins continued to improve on account of favorable pricing factor, lower operating costs and healthy earnings from other income. Gross margin clocked in at 43.8% (1QCY24: 41.3%) and net margin improved to 17.5% (1QCY24: 12.5%) in 1QCY25. Management projects a topline contraction in CY25, owing to prevailing market unpredictability and challenging farmer economics. Nevertheless, margins are forecasted to remain intact.

Debt Coverage & Liquidity

Amid decrease in funds from operations (FFO), DSCR, though remain sound, decreased to 6.45x (CY23: 7.15x) and FFO to total debt coverage reduced to 65% (CY23: 507%). Debt coverages remained higher than industry peers. Current ratio increased to 1.61x (end-CY23: 1.42x) at end-CY24, mainly reflecting the impact of higher stock-in-trade and trade debts. Cash conversion cycle remained negative in CY24 and CY23.

In 1QCY25, there was a notable decline in DSCR (1QCY25: 0.75x) and FFO to total debt ratio (1QCY25: 36%) due to stress on cashflows. Cash conversion cycle extended 39 days in 1QCY25 due to slower inventory turnover. Current ratio slightly decreased 1.54x by end-1QCY25. Majority of trade debts were secured against bank guarantees and their aging profile is considered sound, as tabulated:

Aging profile of trade receivables

	Dec'23 (%)	Dec'24 (%)	Mar'25 (%)
0-90 days	86.9%	90.5%	72.0%
91-180 days	9.6%	5.9%	20.4%
181-365 days	3.0%	2.6%	6.8%
Above 365 days	0.5%	0.9%	0.7%

Financial Summary

BALANCE SHEET (Rs. in millions)	Dec'22 (A)	Dec'23 (A)	Dec'24 (A)	Mar'25 (I)	Dec'25 (P)	Dec'26 (P)
Property, Plant & Equipment	117,219.9	112,899.0	110,850.2	94,816.4	94,584.1	111,108.0
Long-term Investments	1,469.2	5,826.7	41,889.4	12,906.9	13,538.6	30,499.4
Stock in Trade	45,755.1	33,377.0	59,785.9	60,308.7	76,288.0	66,363.0
Trade Debts	13,795.0	10,354.7	18,594.9	9,951.0	14,996.1	16,371.5
Advances, deposits, prepayments, and other receivables	19,969.9	20,005.1	18,082.9	20,796.2	11,941.1	11,941.1
Short-term Investments	4,519.0	18,964.9	30,743.8	67,184.3	65,770.2	31,028.3
Cash & Bank Balances	2,450.0	7,337.6	9,390.9	3,414.6	14,071.6	38,660.4
Total Assets	233,637.0	233,878.5	316,888.9	301,901.4	318,332.0	327,107.7
Trade and Other Payables	59,652.3	57,351.9	61,803.8	53,653.2	68,174.5	71,682.4
Short Term Borrowings	16,467.1	937.8	19,515.3	16,028.9	-	-
Long-Term Borrowings (Inc. current matur)	12,473.1	8,421.8	44,911.6	42,730.2	40,030.0	18,352.0
Total Borrowings	28,940.1	9,359.6	64,426.9	58,759.1	40,030.0	18,352.0
Income Tax Payable	3,169.9	11,405.0	9,662.5	9,439.8	10,407.5	10,802.6
Total Liabilities	126,136.8	114,492.9	172,720.2	152,648.9	153,312.1	137,423.5
Issued, Subs, and Paid-Up Capital	21,000.0	21,000.0	21,000.0	21,000.0	21,000.0	21,000.0
Reserves	86,500.7	98,385.6	123,169.0	128,252.6	142,229.8	166,894.2
Equity	107,500.7	119,385.6	144,169.0	149,252.6	165,019.8	189,684.2
INCOME STATEMENT (Rs. in millions)	CY22 (A)	CY23 (A)	CY24 (A)	1QCY25 (I)	CY25 (P)	CY26 (P)
Net Sales	158,797.1	235,423.3	256,920.2	42,951.0	294,287.0	327,430.0
Gross Profit	52,460.3	74,182.9	91,817.1	18,799.8	92,735.0	100,811.0
Profit Before Tax	30,376.1	48,895.8	62,833.0	12,238.5	61,645.9	67,630.0
Profit After Tax	14,302.0	23,008.4	36,394.2	7,519.7	37,604.0	41,254.3
FFO	28,042.8	47,452.4	41,815.0	5,314.3	42,962.0	55,248.0
RATIO ANALYSIS	CY22 (A)	CY23 (A)	CY24 (A)	1QCY25 (I)	CY25 (P)	CY26 (P)
Gross Margin	33.0%	31.5%	35.7%	43.8%	31.5%	30.8%
Net Margin	9.0%	9.8%	14.2%	17.5%	12.8%	12.6%
FFO to Long-Term Debt*	2.25	563%	93%	50%	107%	301%
FFO to Total Debt*	0.97	507%	65%	36%	107%	301%
Debt Servicing Coverage Ratio (x)*	4.50	7.15	6.45	0.75	1.13	10.31
ROAA*	6.8%	9.8%	13.2%	9.7%	12.1%	12.8%
ROAE*	13.3%	19.3%	25.2%	20.5%	24.5%	23.3%
Gearing (x)	0.27	0.08	0.45	0.39	0.24	0.10
Net Gearing (x)	0.20	-0.14	0.17	-0.08	(0.24)	(0.27)
Leverage (x)	1.17	0.96	1.20	1.02	0.93	0.72
Current Ratio (x)	1.22	1.42	1.61	1.54	1.62	1.98
Cash Conversion Cycle (days)*	-31	-24	-8	39	22	20

Annualized*

A: Audited Accounts

I: Interim Accounts

P: Management Projections

REGULATORY DISCLOSURES					Appendix I
Name of Rated Entity	Fatima Fertilizer Company Limited				
Sector	Fertilizers				
Type of Relationship	Solicited				
Purpose of Rating	Entity Ratings				
Rating History	Rating Date	Medium to Long Term	Short Term	Rating Outlook/Watch	Rating Action
	RATING TYPE: ENTITY				
	August 11, 2025	AA+	A1+	Stable	Reaffirmed
	September 03, 2024	AA+	A1+	Stable	Reaffirmed
	July 20, 2023	AA+	A1+	Stable	Reaffirmed
	May 31, 2022	AA+	A1+	Stable	Upgrade
	December 01, 2021	AA	A1	Stable	Upgrade
	October 15, 2020	AA-	A1	Stable	Reaffirmed
	August 26, 2019	AA-	A1	Stable	Reaffirmed
Instrument Structure	N/A				
Statement by the Rating Team	VIS, the analysts involved in the rating process and members of its rating committee do not have any conflict of interest relating to the credit rating(s) mentioned herein. This rating is an opinion on credit quality only and is not a recommendation to buy or sell any securities.				
Probability of Default	VIS’ ratings opinions express ordinal ranking of risk, from strongest to weakest, within a universe of credit risk. Ratings are not intended as guarantees of credit quality or as exact measures of the probability that a particular issuer or particular debt issue will default.				
Disclaimer	Information herein was obtained from sources believed to be accurate and reliable; however, VIS Credit Ratings Company Limited (VIS) does not guarantee the accuracy, adequacy or completeness of any information and is not responsible for any errors or omissions or for the results obtained from the use of such information. VIS, the analysts involved in the ratings process and members of its ratings committee do not have any conflict of interest relating to the ratings(s)/ranking(s) mentioned in this report. VIS is paid a fee for most ratings assignments. This ratings/ranking is an opinion and is not a recommendation to buy or sell any securities. Copyright 2025 VIS Credit Ratings Company Limited. All rights reserved. Contents may be used by news media with credit to VIS.				
Due Diligence Meetings Conducted	Name	Designation		Date	
	Dr Syed Hyder Hasan	Group CFO		17-Jul-2025	
	Kashif Mustafa	GM Finance			
	Omer Yousuf	Senior Manager Treasury			
	Bilal Yousuf	Assistant Manager Treasury			